

The Complete Financial Guide for Young Couples

budget will work. Remember, a budget is only to tell you when you have spent what you have agreed that you can spend.

Your budget should allocate the total amount of money you have available each month by dividing it into categories totaling 100 percent. If your spending comes out to more than 100 percent, you have a problem. Obviously, most families won't use the envelope system exclusively because most of their money is deposited in a checking account.

USING ACCOUNT SHEETS

Therefore, a checkbook equivalent of the envelope system is what most families need. In this system that I will call the "account sheet" system, a one-page account record is substituted for each envelope.

All the money, except for cash accounts like lunch money, gas, and entertainment, are deposited in the checking account.

EXAMPLE:

ACCOUNT <u>AUTO</u> ALLOCATION <u>\$100</u>						
1ST <u>\$50</u>			15TH <u>\$50</u>			
DATE	TRANSACTION	DEPOSIT	WITH-DRAWAL		BALANCE	
1ST		50			50	
2ND	GAS		20		30	
5TH	OIL		12		18	
15TH		50			68	